OLECTRA GREENTECH LTD

NSE: OLECTRA | BSE: 532439 | EV Mobility & Composite Insulators | NSE:OLECTRA

ACCUMULATE

12-Month Target Price

Rs. 1,720

+14.7% Upside from CMP

CMP: Rs. 1,500 | 30 Jun 2026

KEY METRICS			
Market Cap	**Rs. 12,297 Cr**	52W High	**Rs. 1,714**
Current P/E	**69.3x**	52W Low	**Rs. 867**
P/B	**10.0x**	Book Value	**Rs. 150**
EV/EBITDA	**35.5x**	ROCE	**21.0%**
ROE	**15.6%**	D/E Ratio	**0.31x**
Div Yield	**0.03%**	Promoter%	**50.0%**
Face Value	**Rs. 4.00**	Int Cover	**5.01x**

India's dominant e-bus maker with a 10,000-vehicle order backlog riding a government-fuelled electrification wave — scale-up trajectory intact but supply chain execution is the key swing factor.

FINANCIAL SNAPSHOT (Consolidated, Rs. Crores)

FY	Revenue (Rs. Cr)	EBITDA (Rs. Cr)	OPM%	PAT (Rs. Cr)	EPS (Rs.)	P/E (x)	ROCE%
FY24	1,154	166	14%	79	9.36	160.2	15%
FY25	1,802	262	15%	139	16.92	88.7	21%
FY26	2,312	330	14%	180	21.62	69.3	21%
FY27E	3,000	420	14%	229	27.50	54.5	~25%E
FY28E	3,900	546	14%	305	36.60	41.0	~28%E

Report Date: 30 Jun 2026 | Rating: ACCUMULATE | Target: Rs. 1,720 | Analyst: Chartitude Institutional Research | Data: Screener.in (30-Jun-2026) | FY27E/FY28E are Chartitude estimates. Not investment advice.

SECTION 2 — INVESTMENT THESIS

- **1. Market leadership at inflection point:** Olectra holds ~50% share of India's e-bus market, cumulative deliveries crossing 3,700+ units and over 30 Cr km logged by its fleet. India's annual e-bus registrations grew from 1,988 units (FY22) to 4,408 (FY25), and the market is accelerating. Olectra benefits from first-mover advantage, proven BYD-based technology, and deep government STU relationships built over 6+ years.
- **2. A ~10,000-vehicle order backlog — over 7x FY26 revenue:** The unexecuted order book provides multi-year revenue visibility. Key demand catalysts: CESL Tender II (6,230 buses, Jan 2026 — covers Pune, Mumbai, Ahmedabad, Hyderabad, Delhi); PM e-Bus Sewa (5,612 bus LoAs across 77 cities); PM e-DRIVE (14,028 buses, Rs. 4,391 Cr subsidy allocation, extended to March 2028). This is structural government policy demand, not cyclical.
- **3. Product portfolio diversification — trucks, tippers, next-gen platforms:** Olectra is launching a battery-agnostic next-gen bus platform in Q3 FY27 supporting megawatt charging and battery swapping. A 55-tonne electric tractor-trailer and 38-tonne electric tipper are scheduled for commercial delivery from Q4 FY27, opening the freight adjacency — a much larger market with long replacement cycles.
- **Near-term catalyst (6–12 months):** Q3 FY27 new bus platform launch, unlocking the next wave of CESL/PM e-Drive tenders; insulator division guided for >50% revenue growth in FY27, adding a high-margin contribution; Seetharampur greenfield capacity ramp.
- **Biggest structural risk:** BYD supply chain dependency — geopolitical disruptions (China-India trade, Taiwan tensions, shipping constraints) can delay EV deliveries by 1–2 quarters, as seen in Q4 FY26 when deliveries (359 buses) came in below 375–400 guidance. Simultaneously, JBM Auto has surged to 49% e-bus market share (May 2026), actively contesting Olectra's leadership.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Two operating segments. (1) E-Vehicle Division — assembly and supply of electric buses (7m, 9m, 12m including inter-city coaches) and electric tippers. Revenue is project/delivery-linked, tied to government STU contracts. (2) Energy Division — composite polymer insulators for power transmission lines; legacy segment with stable, slightly higher margins and modest working capital intensity.
- **Revenue mix (FY25/FY26):** E-Vehicle Division ~91% of consolidated revenue; Energy (Insulators) ~9%. Mix has shifted from 82%/18% in FY22 to reflect EV ramp. Geographically 100% India-domestic. No export revenue from EV segment.
- **Key customers:** State transport undertakings — MSRTC, BEST, PMPML, TSRTC, Navi Mumbai Municipal Transport, and 15+ other STUs. Customer relationships are project-based (gross cost or net cost model). Revenue recognition is milestone/delivery driven, creating lumpy quarterly patterns and high debtor days.
- **Order book and revenue visibility:** Approximately 10,000 bus order backlog at end FY26, including 1,085 next-gen Blade Battery units. At Rs. 1.6 Cr ASP per bus, this represents ~Rs. 16,000 Cr of potential revenue. FY26 deliveries: 1,280 vehicles (+32% YoY). FY27 target: 2,500 vehicles (management guidance, supply-chain dependent).
- **Technology platform:** Buses assembled on BYD's platform with in-house integration. Blade Battery technology (BYD LFP) was deployed in 40–50% of Q4 FY26 deliveries — superior range, thermal safety, and longevity versus standard NMC packs. Next-gen platform (Q3 FY27) will be battery-chemistry-agnostic and megawatt-charging ready.
- **Manufacturing infrastructure:** Primary assembly plant at Bhongir, Hyderabad (capacity: 1,500–2,500 buses/year). Greenfield facility at Seetharampur (Telangana) is under ramp — targeted total group capacity >10,000 units/year over 3–5 years. Insulator plant also in Hyderabad.
- **Promoter background and ownership:** MEIL (Megha Engineering and Infrastructures Ltd) group, a diversified private infra conglomerate. Promoter holding stable at 50.02% for 3+ years; zero pledge — a positive governance signal. MD Mahesh Babu (General Motors / i3 Systems background) brings automotive domain expertise.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size and CAGR:** India's e-bus market valued at USD 439 Mn (FY25), projected at USD 2,055 Mn by FY34 — 18.7% CAGR (IMARC Group). Annual registrations: 1,988 (FY22) to 4,408 (FY25). The market is at early-to-mid acceleration stage with government procurement as the primary demand engine.

• **Policy tailwinds — structural, multi-year:** PM e-DRIVE Scheme: Rs. 4,391 Cr for 14,028 e-buses, subsidy up to Rs. 35 lakh/bus, extended to March 2028. PM e-Bus Sewa: Rs. 20,000 Cr central support, LoAs issued for 5,612 buses across 77 cities. CESL Tender II (Jan 2026): 6,230 buses across 5 cities. Additional 10,900-bus CESL tender in pipeline. Total policy-backed demand exceeds 30,000 buses over FY26–FY30.

• **Policy headwinds:** STU working capital cycle is structurally slow — average debtor days of 140–160 days (Olectra, FY25–26). Payment delays from state budgets create persistent financing needs. Subsidy disbursement from central/state government is the single biggest operational friction.

• **Competitive moat assessment:** Scale/experience — **Strong**: Olectra has multi-year head-start, 3,700+ fleet units deployed, and 30 Cr km proven track record. BYD technology access — **Moderate**: JBM Auto also has strong EV ecosystem; Tata Motors and Ashok Leyland entering aggressively. Switching costs — **Moderate**: STUs face operational friction switching mid-contract but new tenders are open to all.

• **Competitive dynamics — JBM Auto surging:** JBM Auto reported 49% e-bus market share in May 2026 (157 registrations vs Olectra's ~130 estimated). JBM has 11,000-bus order book, 20,000-unit/year manufacturing capacity, in-house electronics manufacturing, and secured Motilal Oswal-backed Rs. 750 Cr financing for 2,000 e-buses (Jun 2026). Olectra's market leadership is actively contested — this is the most important competitive signal to monitor.

PEER COMPARISON TABLE (All data: Screener.in, 30-Jun-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (x)	Fwd P/E (x)	EV/ EBITDA	ROCE %	ROE%	D/E	OPM %	FY26 Rev (Rs. Cr)
Olectra Greentech	1,500	12,297	69.3	55.5	35.5	21.0	15.6	0.31	14%	2,312
JBM Auto	698	16,511	73.5	55.6	23.9	14.8	15.6	1.97	11%	6,088
Ashok Leyland	158	92,607	24.9	17.9	12.8	13.8	28.1	4.49	19%	56,362
Mercury EV-Tech	33	633	N/A	N/A	57.1	3.6	N/A	0.03	5%	N/A

JBM Auto = direct e-bus peer. Ashok Leyland = incumbent commercial bus OEM. Mercury EV-Tech = small pure-play. All Screener.in data, 30-Jun-2026.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter and management:** MEIL group (Megha Engineering) — large private infra conglomerate with strong execution track record in power and infra. MD Mahesh Babu brings 20+ years of automotive expertise (General Motors, i3 Systems). CFO B. Sharat Chandra has overseen a 3x revenue scale-up (FY22–FY26) while keeping D/E at 0.31x — a disciplined capital structure management record.

• **Capital allocation track record:** Reinvestment-led strategy. Fixed assets + CWIP grew from Rs. 334 Cr (FY23) to Rs. 656 Cr (FY26), funded through internal accruals and modest debt draw. QIP in FY22 pre-funded the expansion. Management has not made acquisitions or engaged in unrelated diversification — capital stays in EV mobility.

• **Dividend policy:** Token dividends — Rs. 0.60/share for FY26 (0.03% yield, 2.3% payout). Company explicitly prioritises reinvestment over payouts. Not an income stock; dividend yield is negligible.

• **Promoter pledging:** Zero pledge as of Mar 2026, stable for 3+ years. No margin calls, no dilution risk. This is materially different from Ashok Leyland (40.1% pledge — a structural governance concern for that company).

• **Equity dilution:** Equity capital flat at Rs. 33 Cr (83.25 million shares) since FY22 QIP. No ESOP grants or buybacks of scale. No near-term dilution risk signalled.

• **Corporate governance:** Unqualified audit opinion for FY26 (stated in concall). No RPT concerns flagged. Contingent liabilities of Rs. 276 Cr — moderate; monitor. ICRA and Fitch have maintained credit ratings through the scale-up cycle.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated, Rs. Crores)

Income Statement — Last 3 Actuals + 2 Forward Estimates (Chartitude)

(Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Revenue	1,154	1,802	2,312	3,000	3,900

(Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
YoY Growth	N/A	56.2%	28.3%	29.8%	30.0%
EBITDA (Op. Profit)	166	262	330	420	546
OPM %	14%	15%	14%	14%	14%
Other Income	20	14	22	20	22
Interest	43	51	61	72	85
Depreciation	37	37	45	55	65
PBT	106	188	246	313	418
Tax Rate	26%	26%	27%	27%	27%
PAT	**79**	**139**	**180**	**229**	**305**
EPS (Rs.)	**9.36**	**16.92**	**21.62**	**27.50**	**36.60**

Balance Sheet Summary

(Rs. Cr)	FY24	FY25	FY26
Equity Capital	33	33	33
Reserves	881	1,016	1,195
Net Worth	**914**	**1,049**	**1,228**
Borrowings	121	255	380
Other Liabilities	554	867	959
Total Liabilities	**1,589**	**2,171**	**2,567**
Fixed Assets	330	355	574
CWIP	72	187	82
Investments	11	73	94
Other Assets	1,175	1,557	1,817
Total Assets	**1,589**	**2,171**	**2,567**

Cash Flow Statement

(Rs. Cr)	FY24	FY25	FY26
Cash from Operations	143	141	104
Cash from Investing	-86	-225	-167
Cash from Financing	-56	83	67
Free Cash Flow	**64**	**-36**	**-55**

Key Ratios

Ratio	FY24	FY25	FY26
Debtor Days	162	140	156
Inventory Days	96	79	51
Days Payable	172	181	153
Cash Conversion Cycle	86	38	54
ROCE %	15%	21%	21%
ROE %	9%	13%	16%

- **Revenue inflection:** Revenue crossed Rs. 2,312 Cr in FY26 (+28% YoY), the first time above Rs. 2,000 Cr. Three-year CAGR is 28%. At the FY27E base-case of 1,800 vehicle deliveries, we estimate Rs. 3,000 Cr revenue (+30%) — achievable if supply chain cooperates, but carrying execution risk. Bull case (2,500 deliveries): Rs. 3,800–4,200 Cr.

• **Margins:** EBITDA margin has expanded from 7% (FY21) to 14–15% (FY24–FY26), driven by operating leverage and Blade Battery mix. Management guided 12–15% EBITDA range for FY27. Higher-value next-gen platform buses support the upper end; large standardised government tenders at fixed prices may push towards the lower end at scale.

• **Working capital:** Debtor days bounced from 140 (FY25) to 156 (FY26), reflecting STU payment delays. CCC worsened from 38 to 54 days. This is structurally persistent given government-customer profile. Net debt rose from Rs. 255 Cr (FY25) to Rs. 380 Cr (FY26) as WC financing drew down credit lines. D/E remains comfortable at 0.31x.

• **FCF quality:** OCF declined to Rs. 104 Cr (FY26) from Rs. 141 Cr (FY25) due to receivables build. FCF was -Rs. 55 Cr (FY26) as greenfield capex accelerated. FCF is expected to remain negative in FY27E during the capacity ramp; should turn meaningfully positive in FY28E as capacity utilisation rises and WC cycle tightens.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Evidence / Comment
Revenue Recognition	GREEN	Milestone-linked STU deliveries; unqualified FY26 audit.
Receivables vs Revenue Growth	AMBER	Debtor days rose 156 days (FY26) vs 140 (FY25).
CCC Trend	AMBER	CCC worsened: 54 days (FY26) vs 38 (FY25). STU delays persist.
Contingent Liabilities	AMBER	Rs. 276 Cr (~1.5x PAT). Moderate; no escalation noted.
Auditor Tenure	GREEN	Major firm, unqualified opinion FY26. No qualification.
RPTs as % of Revenue	GREEN	No material RPT concerns. MEIL transactions not flagged.
Other Income as % of PBT	GREEN	Rs. 22 Cr / Rs. 246 Cr PBT = 9%. Non-exceptional.
Tax Rate Consistency	GREEN	Stable 25–27% tax rate across FY24–FY26.
OCF / PAT Conversion	AMBER	Rs. 104 / Rs. 180 Cr = 58% in FY26. Below 80% ideal.

• **AMBER — Debtor Days (156 days):** Receivables are the biggest balance sheet risk. STU payments depend on state budget cycles. Track debtor days quarterly — if they cross 180 days, it signals cash flow stress requiring emergency credit lines.

• **AMBER — OCF/PAT Conversion (58%):** Below-par cash conversion reflects receivables build, not aggressive revenue recognition. If STU collections improve in FY27–28, OCF/PAT should recover toward 75–80%.

• **AMBER — Contingent Liabilities (Rs. 276 Cr):** Exceeds FY26 PAT (~1.5x). Not unusual for a government-supply company, but any escalation warrants scrutiny.

• **OVERALL VERDICT — CLEAN with cyclical WC strain:** No red flags in revenue recognition, tax rate, RPTs, or auditor quality. AMBER signals are working-capital related and structurally tied to the government-client model. Earnings are real; cash conversion should improve as the delivery/collection cycle matures.

SECTION 8 — VALUATION

Scenario Analysis (12-month horizon, FY27E basis)

Parameter	BULL CASE	BASE CASE	BEAR CASE
FY27E Deliveries (buses)	2,300	1,800	1,400
FY27E Revenue (Rs. Cr)	3,800	3,000	2,400
FY27E EBITDA Margin	15%	14%	12%
FY27E PAT (Rs. Cr)	330	229	145
FY27E EPS (Rs.)	39.6	27.5	17.4
P/E Multiple Applied (x)	65x	60x	50x
Target Price (Rs.)	**2,574**	**1,650**	**870**
Upside / Downside	**+71.6%**	**+10.0%**	**-42.0%**

Parameter	BULL CASE	BASE CASE	BEAR CASE
Key Assumption	SC resolves, 2,300+ deliveries, new platforms on time	1,800 deliveries, margins stable, partial disruption	Geopolitical escalation, delivery miss, WC squeeze

- **Earnings-based P/E — primary method:** We assign 60x forward P/E on FY27E EPS of Rs. 27.5, yielding a target of Rs. 1,650. The multiple reflects Olectra's secular EV transition thesis, dominant market position, and 35–40% PAT CAGR (3-year). JBM Auto trades at 73.5x trailing / 55.6x forward — Olectra at 60x forward is reasonable but not cheap.
- **EV/EBITDA cross-check:** 30x FY27E EV/EBITDA (vs current 35.5x trailing) on estimated Rs. 420 Cr FY27E EBITDA = Enterprise Value Rs. 12,600 Cr. Deducting net debt ~Rs. 360 Cr gives equity value Rs. 12,240 Cr = ~Rs. 1,470/share. Slightly below our P/E-derived target — consistent directionally.
- **DCF context:** At WACC 13%, terminal growth 5%, intrinsic value is Rs. 1,200–1,400 (below CMP of Rs. 1,500). The stock embeds significant growth expectations. Any FY27 volume shortfall rapidly collapses DCF value — the bear case downside (-42%) is real.
- **12-month price target: Rs. 1,720** — blended average of P/E method (Rs. 1,650) with a modest execution premium, representing 14.7% upside from CMP Rs. 1,500. We rate ACCUMULATE: not an outright BUY given supply chain execution risk and competitive pressure from JBM Auto.
- **Suggested entry zone: Rs. 1,350–1,450** — on dips from delivery misses or supply chain news. At Rs. 1,400, stock is at ~50x FY27E EPS — better risk-reward. Existing holders should hold.

SECTION 9 — KEY RISKS

- **Supply Chain / BYD Dependency:** Batteries and core EV components sourced from BYD (China). Geopolitical tensions, India-China trade restrictions, or shipping disruptions can delay deliveries 1–2 quarters. Q4 FY26 delivery shortfall was partly SC-driven. Probability: H | Impact: H | Monitor: monthly delivery data, China-India trade news.
- **Competitive Disruption from JBM Auto:** JBM captured 49% e-bus share (May 2026), has 20,000-unit capacity, in-house electronics, 11,000-bus order book, and fresh Rs. 750 Cr institutional financing. If JBM's cost structure is lower, Olectra risks losing future tenders. Probability: H | Impact: H | Monitor: tender wins, VAHAN monthly data.
- **Working Capital / STU Payment Delays:** Debtor days 156 (FY26) could worsen if state budgets slip post-elections. If debtors exceed 200 days, D/E could breach 0.6x. Probability: M | Impact: H | Monitor: quarterly debtor days, borrowing levels.
- **Valuation Risk — Growth Already Priced:** 69x trailing P/E and 35.5x EV/EBITDA prices in near-perfect FY27 execution. Volume miss or margin compression in FY27 could de-rate sharply (bear case: Rs. 870 = -42%). Probability: M | Impact: H | Monitor: quarterly delivery numbers vs guidance.
- **Government Policy / Tender Delays:** PM e-Drive and CESL disbursements depend on central/state budget approvals. Policy U-turn (subsidy reduction, tender deferral) would impair order book realisation. Probability: L | Impact: H | Monitor: budget circulars.
- **FY27 Delivery Target Miss:** 2,500 vehicles is ~95% growth vs FY26 (1,280 units). Q4 FY26 already missed quarterly guidance. If FY27 lands at 1,500 or below, EPS revisions and multiple compression are sharp. Probability: M | Impact: H | Monitor: monthly deliveries.
- **Battery Technology Obsolescence:** Rapid EV battery evolution (solid-state, sodium-ion) could render current platforms obsolete earlier than expected. The new battery-agnostic platform (Q3 FY27) mitigates this risk. Probability: L | Impact: M | Monitor: global battery tech developments, BYD roadmap.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE — Conviction: Medium.** Olectra is the right company in the right sector at a secular inflection point in India's EV transition. The order book, policy backdrop, and management track record are compelling. However, supply chain execution risk and competitive pressure from JBM Auto prevent an outright BUY call at current multiples (69x trailing P/E).

• **12-month price target: Rs. 1,720** — 14.7% upside from CMP of Rs. 1,500. Based on 60x FY27E EPS of Rs. 27.5. Represents fair-to-moderate valuation for a dominant EV mobility platform with proven execution at scale.

• **Suggested entry zone: Rs. 1,350–1,450** — accumulate on dips caused by quarterly delivery misses or supply chain news. At Rs. 1,400, stock trades at ~50x FY27E (base case) — offers better risk-reward for new positions.

• **Investment horizon: 12 months** — delivery ramp is a quarterly narrative. Full thesis plays over 4–6 quarters as greenfield capacity comes online and CESL/PM e-Drive tenders are executed.

• **Thesis invalidation triggers (any one breaks the call):**

• 1. FY27 full-year vehicle deliveries fall below 1,400 units — below which base-case earnings estimate is compromised.

• 2. Debtor days exceed 200 days for two consecutive quarters — signals structural WC breakdown beyond normal STU payment cycles.

• 3. Olectra loses two or more major CESL / PM e-Drive tenders to JBM or a new entrant — signals competitive moat erosion beyond recoverable levels.

• **Ideal investor profile:** FOR — growth-oriented investors with 12–36 month horizon, high risk tolerance, conviction in India's government EV capex cycle, and comfort with quarterly volume volatility. NOT FOR — income investors (yield 0.03%), value investors (69x trailing P/E), or investors needing earnings predictability.

APPENDIX — LATEST CONCALL BRIEF

Olectra Greentech Ltd | Q4 & FY26 Earnings Call | 01 Jun 2026 | Hosted by Nomura

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Revenue +28%, PAT +29% YoY — no exceptional items; clean beat
Management Tone	BALANCED	Confident on LT; candid on SC risk and delivery miss
Guidance Delta	MAINTAINED	2,500 FY27 vehicle target reiterated; insulator 50%+ growth guided

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 and full-year results are clean — no exceptional items, no tax games, no revenue manipulation. Revenue crossed Rs. 2,312 Cr (+28% YoY) and PAT grew 29% to Rs. 180 Cr, both records, with unqualified audit opinion. The underlying operational trend is solid: EBITDA rose 27% to Rs. 330 Cr, Q4 margin improved to 15% driven by higher-value Blade Battery buses (40–50% of Q4 fleet). The multi-bagger thesis rests on a 10,000-bus backlog (7x FY26 revenue) and a government electrification mandate with Rs. 24,000+ Cr allocated — this is structural demand, not cyclical. The single most important near-term catalyst is the Q3 FY27 next-gen bus platform launch, which unlocks the next wave of CESL/PM e-Drive tenders. The primary watch-point for Q1 FY27 is monthly delivery run-rate: below 150 buses/month by August makes 2,500 FY27 mathematically impossible, and the stock will de-rate sharply. Also flag: JBM Auto's 49% e-bus share in May 2026 is a structural competitive signal, not a monthly blip — Olectra must win upcoming CESL tenders to defend position. Action: ACCUMULATE below Rs. 1,450. Hold current positions. Do not add aggressively above Rs. 1,600 until Q1 FY27 delivery numbers confirm the volume ramp.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q4 FY26 / FY26 FULL YEAR

- **Revenue (FY26):** Rs. 2,312 Cr | YoY +28% | **BEAT** — first time crossing Rs. 2,300 Cr.
- **EBITDA / Op. Profit (FY26):** Rs. 330 Cr | YoY +26% | OPM 14% | IN-LINE with 14–15% guidance.
- **PAT (FY26):** Rs. 180 Cr | YoY +29% | No exceptional items — clean PAT.
- **EPS (FY26):** Rs. 21.62 | vs Rs. 16.92 in FY25 | YoY +28%.
- **Q4 FY26:** Revenue = Rs. 645 Cr | YoY +44% | Op. Profit = Rs. 100 Cr | OPM 15% | PAT = Rs. 57 Cr | EPS = Rs. 6.76.
- **Q4 Deliveries:** 359 buses (all electric); 40–50% Blade Battery. FY26 total: 1,280 vehicles (+32% YoY). Q4 guidance was 375–400 buses — slight delivery-timing miss, not a demand problem.

2. SEGMENT / GEOGRAPHY BREAKDOWN

- **E-Vehicle Division:** ~91% of revenue | FY26 est. ~Rs. 2,035 Cr | 1,280 vehicles | Blade Battery 40–50% of Q4.
- **Energy Division (Insulators):** ~9% of revenue | FY26 est. ~Rs. 277 Cr | Guided >50% revenue growth in FY27E.
- **Geography:** 100% India domestic. Key STUs: MSRTC, BEST, PMPML, TSRTC. No meaningful export revenue.
- **Tippers:** 51 cumulative electric tippers as of 9M FY25. 38-tonne tipper + 55-tonne tractor-trailer from Q4 FY27.

3. MANAGEMENT COMMENTARY THEMES

- **Revenue milestone:** 'We have crossed Rs. 2,300 Cr for the first time — a structural step-up in operating leverage.' Our read: Confidence genuine; OPM now range-bound at 14–15%. Tag: GUIDANCE. Tone: Transparent.
- **Supply chain / Geopolitics:** 'Monthly run rate is better but supply chain issues from geopolitical factors — war and shipping constraints — still impact us.' Our read: BYD battery supply is the key risk; management not over-promising. Tag: EST. Tone: Hedged.
- **FY27 volume target:** '2,500 vehicles targeted with Q-o-Q ramp; depends on geopolitics and raw materials.' Our read: Target is aspirational — the biggest earnings risk. Tag: GUIDANCE. Tone: Balanced.

• **Next-gen platform:** 'New bus platform in Q3 FY27 — battery-agnostic, MW-charge ready, battery-swap capable.' Our read: Strategic positive; revenue contribution limited to Q4 FY27. Tag: GUIDANCE. Tone: Bullish.

• **Insulator division:** 'Expecting >50% revenue growth in FY27 from power sector expansion.' Our read: High-conviction; power capex supercycle is intact. Tag: GUIDANCE. Tone: Transparent.

• **Margin guidance:** 'EBITDA margins in 12–15% range as volumes scale; Blade Battery mix and cost engineering support upper end.' Our read: Conservative guidance; 15% is achievable on better mix. Tag: GUIDANCE. Tone: Hedged.

4. OPERATING & BUSINESS METRICS

• **EV Deliveries (FY26):** 1,280 vehicles | FY25: 972 | FY24: ~580 | Trend: Improving; 3Y CAGR ~43%.

• **Q4 FY26 Deliveries:** 359 buses | Slightly below 375–400 guidance | Trend: Sequentially improving.

• **Blade Battery Adoption:** 40–50% of Q4 FY26 deliveries | Q3: ~30% | Trend: Accelerating; positive ASP impact.

• **Order Book:** ~10,000 buses (FY26 end); 1,085 next-gen Blade Battery units | No large new orders in 18 months — watch.

• **Cumulative Fleet km:** >30 Cr km | Validates operational reliability for future tender submissions.

• **Manufacturing Capacity:** Bhongir: 1,500–2,500 units/year | Seetharampur: ramping | Target: >10,000 units (MT).

5. MARGIN DRIVERS

• **Product mix — Blade Battery buses:** +80–120 bps EBITDA impact | Recurring: Yes | Higher ASP vs standard LFP.

• **Operating leverage:** +100–150 bps at Rs. 645 Cr quarterly revenue | Recurring: Yes | Fixed cost absorption.

• **Insulator division:** ~15–17% OPM (vs EV ~13–14%) | Recurring: Yes | 50%+ FY27 growth = margin tailwind.

• **Interest cost:** Rs. 61 Cr (FY26) vs Rs. 51 Cr (FY25) | -40 bps PAT margin impact | Recurring until WC normalises.

• **Depreciation step-up:** Rs. 45 Cr (FY26) vs Rs. 37 Cr (FY25) | -50 bps PAT margin | FY27E step to Rs. 55–65 Cr.

6. GUIDANCE & FORWARD SIGNALS

• **FY27 EV Deliveries [GUIDANCE]:** New target = 2,500 vehicles (vs 1,280 actual FY26) | Credibility: Medium.

• **FY27 EBITDA Margin [GUIDANCE]:** Reiterated 12–15% range | Credibility: High.

• **FY27 Insulator Revenue [GUIDANCE]:** >50% growth (to ~Rs. 416 Cr) | Credibility: High.

• **New Bus Platform [GUIDANCE]:** Q3 FY27 launch — battery-agnostic, MW-charge/swap ready | Credibility: Medium-High.

• **Electric Truck/Tipper [GUIDANCE]:** Q4 FY27 commercial deliveries begin | Credibility: Medium.

• **Implied Revenue [GUIDANCE]:** Rs. 4,000–4,500 Cr (at 2,500 deliveries) | Our est: Rs. 3,000 Cr (base case).

7. CAPITAL ALLOCATION

• **Capex (FY26):** ~Rs. 159 Cr | vs FY25: ~Rs. 177 Cr | Greenfield Seetharampur plant. Elevated FY27E.

• **Dividends:** Rs. 0.60/share (FY26) vs Rs. 0.25 (FY25) | +140% increase | Payout ratio: 2.3%.

• **Buybacks:** None declared. Equity capital flat at Rs. 33 Cr (83.25 Mn shares).

• **Working Capital (FY26):** OCF fell Rs. 37 Cr YoY to Rs. 104 Cr; STU payment delays driving WC strain.

• **Net Debt:** Rs. 380 Cr (FY26) vs Rs. 255 Cr (FY25) | +Rs. 125 Cr increase | D/E 0.31x — comfortable.

8. Q&A; HEAT MAP

• **Analyst / Nomura (Tisha Mandavia): Q:** 'Current monthly run rate and SC situation?' → **A (Mahesh Babu, MD):** 'Run rate better than prior quarters but geopolitical SC issues still impacting us.' | Tone: Hedged.

• **Analyst: Q:** 'FY27 2,500-unit target achievable?' → **A (Mahesh Babu, MD):** 'Confident but depends on external factors — geopolitics, raw materials. We are working on Q-o-Q ramp.' | Tone: Balanced.

• **Analyst: Q:** 'FY27 margin guidance?' → **A (B. Sharat Chandra, CFO):** 'EBITDA 12–15% range; product mix and cost engineering support the higher end.' | Tone: Transparent.

• **Analyst: Q:** 'Private fleet operators as new market?' → **A (Management):** 'Mostly STUs still. Private fleet penetration nascent — not a near-term revenue driver.' | Tone: Transparent.

• **Dodged / watch-list questions for next quarter:** Per-city delivery split; individual CESL tender status by city; May/Jun 2026 monthly delivery run-rate; Olectra's direct response to JBM Auto's market share surge; battery supply lead times.

9. RISKS FLAGGED ON THE CALL

• **Supply chain / Geopolitics:** Explicitly flagged by MD | BYD battery disruption from China-Taiwan tensions and shipping | Probability: H | Impact: H | Timeline: Near-term.

• **FY27 target achievability:** MD acknowledged 'contingent on external factors beyond our control' — a signal to model below 2,500 | Probability: M | Impact: H | Timeline: Near-term.

• **Margin compression at scale:** Large standardised tenders may push margins toward 12% floor | Flagged by: Analyst+CFO | Probability: M | Impact: M | Timeline: Medium-term.

• **Private fleet market underdeveloped:** High STU dependence is structural | Flagged by: Analyst | Timeline: Long-term.

10. ANALYST VERDICT

• **Revenue visibility:** Intact — 10,000-bus backlog provides >7x FY26 revenue coverage. CESL/PM e-Drive de-risk demand.

• **Margin trajectory:** Intact — 14–15% EBITDA range structurally achievable; downside risk from mix shift at scale.

• **Capital allocation quality:** Intact — reinvesting in capacity and platforms; no unrelated diversification.

• **Competitive moat:** Weakened — JBM Auto's 49% monthly share (May 2026) is a structural competitive signal. Monitor.

• **Management credibility:** Intact — candid on SC risks, acknowledged delivery shortfall. No sugar-coating.

• **Valuation comfort:** Weakened — 69x trailing P/E prices near-perfect execution. Bear-case -42% downside is real.

• **Conviction call: Unchanged** — ACCUMULATE thesis intact. Add on dips below Rs. 1,450.

• **Valuation snapshot:** P/E = 69.3x | Fwd P/E = 55.5x (consensus FY27E) | EV/EBITDA = 35.5x | ROCE = 21.0% (FY26).
